enough and that imposing an externality upon a person calls for a negotiation.

Public policy also plays another role in the Coasean approach, through the judicial infrastructure of contract enforcement. In many practical situations, the traditional UK concepts of the law of torts give rights to persons harmed, which are conducive to a Coasean negotiation. Greater effort is required in India, to lay the foundations of the law of torts, and to build the courts through which these disputes can be efficaciously adjudicated.

Once property rights are defined and private persons can search for contracts, good outcomes are obtained without requiring a heavy-handed command-and-control intervention. By this logic, policymakers should put a high priority upon the reforms that clarify property rights, and the reforms that improve the working of the judiciary.

There are many problems where a large number of individuals is involved, and it is difficult to bring all persons together into a negotiation. It is in those problems that the first cut of public economics holds true. Under these circumstances, there is a role for the state to engage in the more conventional machinery of public policy, ranging from taxes/subsidies to regulation to production.

Traditional community solutions to the tragedy of the commons

The standard idea in economics about common pool resources is the ‘tragedy of the commons’. [3] We cannot easily control access, and then a scarce resource tends to be depleted by excessive usage. The classic example is the fish stock in the sea. It is hard to control fishing boats, so fishing tends to be overdone, resulting in a collapse of the fish population. Each person has an incentive to overuse the commons, which induces a negative externality upon all other users of the commons.